

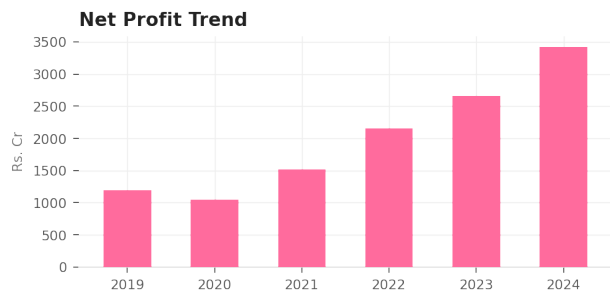
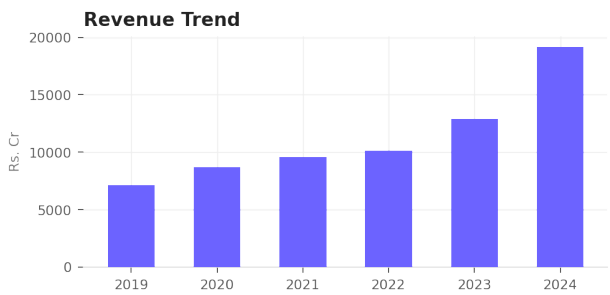
Cholamandalam Investment & Finance Company Ltd

CHOLAFIN | Financials - Consumer Finance | Large Cap

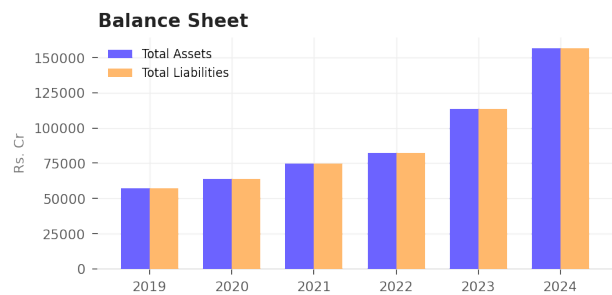
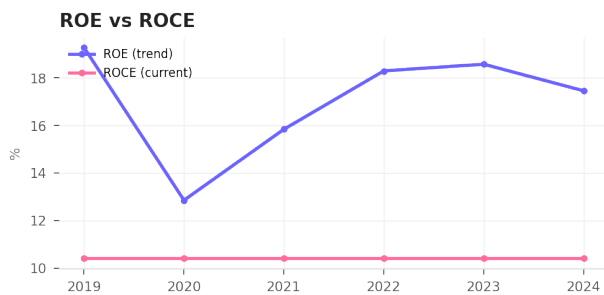
17.5%	10.4%	6.86x	16.8x	2.8%	50/100
ROE	ROCE	Debt/Equity	P/E	Div. Yield	Quality Score

CAPITAL ALLOCATION: GROWTH FUNDED BY DEBT

Operating cash flow is negative; growth is being funded through debt.



Cholamandalam Investment & Finance Company Ltd - Financial Trends



Pros

- + Company has delivered strong profit growth of 23.4% CAGR over the last 5 years. (84% confidence)
- + Company comfortably covers its interest obligations (21.2x interest coverage). (83% confidence)
- + Company has grown earnings per share at 22.6% CAGR over the last 5 years. (82% confidence)
- + Company has delivered strong sales growth of 19.8% CAGR over the last 5 years. (76% confidence)
- + Company maintains a strong operating margin of 28.1%. (72% confidence)
- + Company has a strong return on equity of 17.5%. (64% confidence)

Cons

- Company carries a high debt-to-equity ratio of 6.86. (98% confidence)
- Company's cash generation lags reported profits (CFO/PAT of -9.26x), an accrual risk. (98% confidence)
- Company's cash flow pattern (Growth Funded by Debt) signals capital allocation stress. (80% confidence)
- Dividend payout has been low at 5.0% of profits. (79% confidence)
- Company reported negative free cash flow in the latest year. (75% confidence)
- Company is capital intensive, spending 12.7% of sales on capex. (75% confidence)